

ALTH CREATION AND PRESERVATION



WHY SKIP A RENTAL PROPERTY?

- Offers income but comes with tenant issues, repairs, and time demands
- Risk of vacancies and market fluctuations

SMARTER CHOICES

- Category II Private Credit Funds: Stable, debt-like returns
- Real Estate AIFs: Invest in diversified, rent-yielding commercial properties

WHY IT WORKS

- Delivers consistent income
- Professional management reduces stress and maximises efficiency
- Invest smarter, not harder

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independent of the market's direction. Furthermore, Category I and II AIFs are the only gateway to invest in private markets—start-ups, infrastructure and private credit,” says Kudva.

These assets have a low correlation to the stock market, which provides powerful diversification and reduces overall portfolio risk.

Having said that, the comparison between AIFs and second homes has become central because both serve similar emotional and financial goals, namely legacy, wealth preservation and perceived stability.

“Also, through AIFs, one can also invest in commercial and retail properties, completed versus under-construction properties, warehousing and SEZ (special economic zone) projects, etc,” says Nishant Agarwal, Senior Managing Partner, ASK Private Wealth. In fact, according to ANAROCK Research, real estate dominates AIF net investments with



“The hidden costs of maintenance, market stagnation in Tier-II cities often erode long-term returns from second homes. AIFs offer superior resilience through professional management”

TANVI KANCHAN

HEAD—NRI BUSINESS & STRATEGY, ANAND RATHI SHARES AND STOCK BROKERS

₹73,903 crore of infusions in the first nine months of FY25.

Says Bamasish Paul, Co-founder, Managing Partner & CEO of Etonhurst Capital Partners, a Category II AIF with a real estate fund, “Our current fund focuses on private credit type deals as we identify and fund society redevelopment projects in MMR (Mumbai Metropolitan Region). As Mumbai is undergoing a transformational change never seen before, older buildings in great locations desire to upgrade into newer and modern buildings.”

REGULATORY RESET

As of December 2024, Sebi had scrutinised nearly ₹1 lakh crore—around 20% of the total ₹4.5 lakh crore invested AIFs—for potentially being used to bypass regulations like non-performing asset (NPA) norms, Foreign Exchange Management Act (FEMA), and foreign portfolio investment (FPI) rules. In response,